Outsourcing:

Definition:

Outsourcing is an agreement in which one company hires another company to be responsible for work which could be done internally. Sometimes involves transferring employees and assets to another firm.

Terminology:

- Offshoring: moving work to a distant country.
- Offshore outsourcing: hiring external business to do business functions in another country.
- Nearshoring: outsource to a nearby country
- Farmshoring: outsource to companies in the same country
- In-housing: hiring employee / using existing employee to undo an outsourcing

Motivations:

- Can provide financial saving:
  - Lower international labour rates
  - Specialization
- Shortage from Know-how in (access to intellectual capacity)
- Speed of the market:
  - Outsource processes instead of inventing themselves.
- Greater budget flexibility:
  - Only pay services when you need them
  - Reduce hiring/training specialised stuff
- “Do what you do best and outsource the rest” has become a recognized business-model, which means to focus on the core business.
- To solve capacity issues

Issues:

- Quality of processes which can only be influenced indirectly
- Dependency on third party companies (global chip shortage)
- Protection of know-how

IT Outsourcing:

Many tech companies outsource to other countries like Canada and India. For example, Bangalore is the hi-tech city. IT-services are easy to outsource, because of the internet. These services are programming, multimedia production and many more. Another service is researching which is outsourced too. Outsourcing IT-services is especially good for little companies because they would need to hire employees themselves.

Long term impacts:

Outsourcing production in lower labour rates causes longer transport routs, which cause more CO^2 pollution. Cotton is transported to factories, which make fabric and this fabric is transported thousands of kilometres to the factories which make our clothing. These are produced in Asia and are transported by ship around the world to us.

Some companies take advantage of the low environmental standards in third world countries. By producing with low environmental standards many companies accept that the environment is damaged with toxic chemicals. These chemicals also harm human beings who often work in horrible working conditions.

Because we are a country with high labour rates some companies in Austria outsource to cheaper countries. Because of this

Global players:

All biggest companies who provide outsource solutions are in the tech and service sector. The biggest is IBM. They offer IoT, cloud, AI, and automation. Some other companies offer services, like audit, consulting, tax, and advisory services.

Is a growing market, with about seven billion U.S. dollars increase pear year. Because These companies are specialized in their sector, they can provide cheaper and easier solutions for other companies.

Even huge companies like google outsource non-core functions, like administration for better efficiency. The outsourced support services are seamlessly blended into their inhouse support team.

Unlike western countries Alibaba is in Chine which already offers low cost. Instead, Alibaba needed skills to grow, which were not available in China. Because of that they outsourced web development to the U.S. to get this skill.

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